CIA Part 1 – Questions 101–200 (Hard, Wilson-Style)

Essentials of Internal Auditing

Study Deck

October 16, 2026

Format

100 new questions (Q101–Q200), none repeated from Q1–Q100.

Each: stem + A–D, then a detailed explanation slide.

Style: "which is best," "which is LEAST likely," "MOST likely."

Domains: Foundations, Independence, Proficiency, QAIP, Governance, Risk, Control, Fraud, Planning, Evidence, Sampling, Reporting, Follow-up.

Q101

Question: The CAE is asked to lead the implementation of a new enterprise risk management (ERM) framework. Which response BEST preserves conformance with the Standards?

A. Accept, because ERM is a core internal audit competency.

B. Decline all ERM involvement to protect independence.

C. Accept only an advisory role, ensuring management retains ownership and decisions.

D. Accept and later audit the framework as assurance.

Correct Answer: C

Q101 – Explanation

Correct: C. Internal audit may consult on ERM but must not own it or make management decisions; doing so would impair objectivity and preclude later assurance.

A wrong: Competency is not the issue; ownership is. Taking the lead makes internal audit management.

B wrong: Total abstention is overly restrictive; advisory support is permitted.

D wrong: Implementing then auditing the same framework is a self-review threat (Standard 1130).

Q102

Question: An auditor is assigned to audit the payroll function. The auditor's spouse is the payroll supervisor. Which action is MOST appropriate?

A. Proceed, since the spouse does not approve payments.

B. Disclose the relationship and request reassignment.

C. Proceed but avoid interviewing the spouse.

D. Proceed and document the relationship in the workpapers only.

Correct Answer: B

Q102 – Explanation

Correct: B. A close family relationship with the auditee supervisor is an objectivity impairment; the auditor must disclose and be reassigned (Standard 1130).

A wrong: The impairment exists regardless of approval authority.

C wrong: Avoiding interviews does not remove the impairment.

D wrong: Documentation alone does not cure an impairment; reassignment is required.

Q103

Question: Which is LEAST likely to be a valid reason for the CAE to decline an engagement?

A. The engagement would create a conflict of interest.

B. The audit team lacks the needed expertise and no specialist is available.

C. The engagement is outside the approved audit plan and unapproved.

D. The engagement would be expensive.

Correct Answer: D

Q103 – Explanation

Correct: D. Cost alone is not a Standards-based reason to decline; risk, independence, objectivity, and competence are.

A wrong: Conflict of interest is a valid reason.

B wrong: Lack of competence is a valid reason (Standard 1210).

C wrong: Out-of-plan engagements require CAE/board approval.

Q104

Question: Which statement about the audit committee's approval of the internal audit charter is MOST accurate?

A. The CEO may approve the charter if the board delegates.

B. The charter must be approved by the board (or its audit committee).

C. The external auditor must approve the charter.

D. The charter is approved by the CAE.

Correct Answer: B

Q104 – Explanation

Correct: B. Standard 1000: the charter is approved by the board, often through its audit committee.

A wrong: The board may not delegate charter approval to management.

C wrong: The external auditor has no role in charter approval.

D wrong: The CAE drafts/administers the charter; the board approves it.

Q105

Question: An auditor discovers a control deficiency that management says is "not material." The auditor should FIRST:

A. Escalate immediately to the audit committee.

B. Validate the finding and discuss impact with management.

C. Issue the report without the finding.

D. Remove the finding because management disagrees.

Correct Answer: B

Q105 – Explanation

Correct: B. First validate evidence and discuss the finding's impact with management; escalation follows only if unresolved and significant.

A wrong: Premature escalation bypasses the working-level process.

C wrong: Omitting a valid finding violates the Standards.

D wrong: Management disagreement does not delete a finding.

Q106

Question: Which is the BEST evidence of a control's operating effectiveness over the full year?

A. A single walkthrough at year-end.

B. A sample of instances across the period.

C. Inquiry of the control owner.

D. Observation on one day.

Correct Answer: B

Q106 – Explanation

Correct: B. Effectiveness over a period requires a sample spread across the period to test consistency of operation.

A wrong: A single walkthrough is limited in time.

C wrong: Inquiry alone is insufficient (Standard 2300).

D wrong: One-day observation is not representative.

Q107

Question: Which condition MOST likely indicates collusion?

A. A well-documented approval trail.

B. Two employees sharing a password and rotating duties.

C. A single vendor with low prices.

D. A monthly reconciliation.

Correct Answer: B

Q107 – Explanation

Correct: B. Shared passwords and rotating duties can defeat segregation of duties and indicate collusion.

A wrong: A good approval trail is a positive control indicator.

C wrong: A single low-cost vendor is not itself a red flag.

D wrong: Reconciliations are detective controls.

Q108

Question: Which is the MOST appropriate role for internal audit in fraud?

A. Lead the investigation and interrogate suspects.

B. Assess fraud risk and evaluate controls.

C. Decide guilt and impose discipline.

D. Approve management's fraud policy.

Correct Answer: B

Q108 – Explanation

Correct: B. Internal audit assesses fraud risk and evaluates controls; management and legal lead investigations and decisions.

A wrong: Interrogation and leading investigations are management/legal roles.

C wrong: Discipline is a management/HR decision.

D wrong: The board approves the fraud policy.

Q109

Question: Which sampling method is BEST for estimating a deviation rate with known statistical confidence?

A. Haphazard sampling.

B. Judgmental sampling.

C. Statistical (random/probability) sampling.

D. Block sampling.

Correct Answer: C

Q109 – Explanation

Correct: C. Statistical sampling uses probability selection so inference and confidence levels are valid.

A wrong: Haphazard is non-statistical.

B wrong: Judgmental is non-statistical.

D wrong: Block sampling is biased.

Q110

Question: Which is the LEAST reliable evidence?

A. External confirmation.

B. Auditor's physical inspection.

C. Inquiry of the auditee.

D. Original signed document.

Correct Answer: C

Q110 – Explanation

Correct: C. Inquiry relies on representation and is the weakest form; it must be corroborated.

A wrong: External confirmations are highly reliable.

B wrong: Physical inspection is strong direct evidence.

D wrong: Original signed documents are strong documentary evidence.

Q111

Question: The auditor most likely increases the sample size when:

A. Tolerable deviation rate increases.

B. Expected deviation rate increases.

C. Population size shrinks slightly.

D. Confidence level decreases.

Correct Answer: B

Q111 – Explanation

Correct: B. A higher expected deviation rate requires a larger sample to achieve the same confidence.

A wrong: Higher tolerable rate *reduces* required sample size.

C wrong: Small population changes rarely matter much.

D wrong: Lower confidence reduces sample size.

Q112

Question: Which is the MOST appropriate action if the auditor finds the sample deviation rate exceeds the tolerable rate?

A. Conclude the control is ineffective and consider expanding testing or reporting a deficiency.

B. Ignore the result because it is only a sample.

C. Reduce the tolerable rate.

D. Switch to a non-statistical method.

Correct Answer: A

Q112 – Explanation

Correct: A. If sample deviations exceed tolerable, the control is not operating effectively; expand testing or report a deficiency.

B wrong: Ignoring evidence is improper.

C wrong: Tolerable rate is set during planning and cannot be manipulated post-hoc.

D wrong: Switching methods does not change the underlying result.

Q113

Question: Which statement about due professional care is MOST accurate?

A. It requires infallibility.

B. It requires reasonable care, not absolute assurance.

C. It applies only to the CAE.

D. It applies only to fraud engagements.

Correct Answer: B

Q113 – Explanation

Correct: B. Standard 1220: reasonable prudence and competence, not perfection or guarantee.

A wrong: Infallibility is not required.

C wrong: It applies to every auditor.

D wrong: It applies to all engagements.

Q114

Question: Which is the MOST valid indicator that the internal audit activity has adequate authority?

A. The charter grants access to records, personnel, and property.

B. The CAE has a large budget.

C. The auditors are certified.

D. The audit committee meets monthly.

Correct Answer: A

Q114 – Explanation

Correct: A. Access rights and authority are defined in the charter (Standard 1000).

B wrong: Budget size is not authority.

C wrong: Certification is competence, not authority.

D wrong: Meeting frequency is governance cadence, not authority.

Q115

Question: Which is the BEST description of the control environment?

A. The IT firewall settings.

B. The tone set by leadership regarding ethics and control.

C. The internal audit plan.

D. The external audit opinion.

Correct Answer: B

Q115 – Explanation

Correct: B. Control environment = tone at the top: integrity, ethics, commitment to competence, board oversight.

A wrong: IT settings are control activities.

C wrong: The audit plan is an internal audit tool.

D wrong: The external opinion is unrelated.

Q116

Question: Which risk response involves sharing risk?

A. Installing a firewall.

B. Buying insurance.

C. Accepting risk.

D. Exiting a market.

Correct Answer: B

Q116 – Explanation

Correct: B. Insurance transfers/shares risk with a third party.

A wrong: A firewall reduces/mitigates risk.

C wrong: Acceptance retains risk.

D wrong: Exiting avoids risk.

Q117

Question: The auditor notes the same employee both approves and records vendor invoices. This is a weakness in:

A. Segregation of duties.

B. Physical safeguards.

C. Reconciliation.

D. Authorization.

Correct Answer: A

Q117 – Explanation

Correct: A. Approving and recording are incompatible functions; combining them defeats segregation of duties.

B wrong: No physical access issue is stated.

C wrong: Reconciliation is a separate control.

D wrong: Authorization exists but is not segregated.

Q118

Question: Which is the MOST appropriate frequency for a follow-up on a high-risk finding?

A. No follow-up.

B. Follow up sooner and more frequently than for low-risk findings.

C. Only at year-end.

D. Only if management requests it.

Correct Answer: B

Q118 – Explanation

Correct: B. Follow-up should be risk-based; higher risk merits earlier and more frequent monitoring.

A wrong: Follow-up is required (Standard 2500).

C wrong: Year-end only is too infrequent for high risk.

D wrong: Follow-up is internal audit's responsibility.

Q119

Question: The CAE reports to the CEO administratively and to the audit committee functionally. Which statement is MOST accurate?

A. This structure impairs independence.

B. This structure supports independence while enabling administration.

C. The CAE should report only to the CEO.

D. The CAE should report only to the external auditor.

Correct Answer: B

Q119 – Explanation

Correct: B. Dual reporting is best practice: functional to the board protects independence; administrative to the CEO supports operations.

A wrong: This is the recommended structure, not an impairment.

C wrong: CEO-only reporting impairs independence.

D wrong: Reporting to the external auditor is inappropriate.

Q120

Question: Which statement about risk appetite is MOST accurate?

A. It is set by the CAE.

B. It is set by the board and expressed in policy.

C. It equals zero risk.

D. It is the same as risk tolerance.

Correct Answer: B

Q120 – Explanation

Correct: B. Risk appetite is set by the board/governance and guides management.

A wrong: The CAE does not set appetite.

C wrong: Zero appetite is unrealistic.

D wrong: Tolerance is the acceptable variance around appetite, not identical.

Q121

Question: The auditor tests the completeness of accounts payable. Which direction of testing is BEST?

A. From the vendor master to payments.

B. From receiving reports and invoices to the payables ledger.

C. From the payables ledger to invoices.

D. From the budget to actuals.

Correct Answer: B

Q121 – Explanation

Correct: B. Tracing from source documents (receiving/invoices) to the ledger tests completeness.

A wrong: Master-to-payments does not test completeness of liabilities.

C wrong: Ledger-to-invoices tests existence/occurrence.

D wrong: Budget comparison is analytical, not completeness evidence.

Q122

Question: Which is the BEST way to test the existence of accounts payable?

A. From the ledger to supporting invoices.

B. From receiving reports to the ledger.

C. From the budget to actuals.

D. Interview the AP manager.

Correct Answer: A

Q122 – Explanation

Correct: A. Vouching from the ledger back to invoices tests whether recorded liabilities exist.

B wrong: That tests completeness.

C wrong: Budget analysis is not existence evidence.

D wrong: Inquiry alone is weak.

Q123

Question: Which is the MOST likely effect of a strong control environment on audit risk?

A. It eliminates audit risk.

B. It may reduce assessed control risk and allowable detection risk.

C. It increases inherent risk.

D. It removes the need for substantive testing.

Correct Answer: B

Q123 – Explanation

Correct: B. A strong environment can lower assessed control risk, though substantive testing is still needed.

A wrong: Audit risk is never eliminated.

C wrong: It usually reduces risk.

D wrong: Substantive procedures are still required.

Q124

Question: Which is the BEST description of a key control?

A. Any documented procedure.

B. A control essential to preventing or detecting material misstatement.

C. A control owned by the CFO.

D. An IT general control only.

Correct Answer: B

Q124 – Explanation

Correct: B. A key control is one whose failure could cause material misstatement or significant risk.

A wrong: Documentation alone does not make it key.

C wrong: Ownership does not define keyness.

D wrong: Key controls can be manual or IT.

Q125

Question: Which situation MOST likely impairs auditor objectivity?

A. The auditor recently transferred from the auditee department.

B. The auditor uses a standard program.

C. The auditor documents findings.

D. The auditor reviews the work of a peer.

Correct Answer: A

Q125 – Explanation

Correct: A. A recent transfer from the auditee department creates a self-interest/familiarity threat.

B wrong: Standard programs support consistency.

C wrong: Documentation is required.

D wrong: Peer review supports objectivity.

Q126

Question: Which is the MOST appropriate use of the internal audit charter?

A. A marketing document for the audit function.

B. A formal document establishing purpose, authority, and responsibility.

C. A substitute for the audit plan.

D. A personnel handbook.

Correct Answer: B

Q126 – Explanation

Correct: B. The charter establishes the activity's purpose, authority, and responsibility (Standard 1000).

A wrong: It is a governing document, not marketing.

C wrong: The plan is separate.

D wrong: It is not a personnel handbook.

Q127

Question: Which statement about consulting engagements is MOST accurate?

A. They require no documentation.

B. They must maintain objectivity and not assume management responsibilities.

C. They are prohibited for internal audit.

D. They always produce an audit opinion.

Correct Answer: B

Q127 – Explanation

Correct: B. Consulting is permitted but must preserve objectivity and avoid management roles.

A wrong: All engagements must be documented.

C wrong: Consulting is permitted.

D wrong: Assurance produces conclusions; consulting is advisory.

Q128

Question: Which is the BEST way to reduce detection risk?

A. Increase the tolerable deviation rate.

B. Design more effective substantive procedures.

C. Reduce the sample size.

D. Rely on management representations.

Correct Answer: B

Q128 – Explanation

Correct: B. Detection risk is controlled by the auditor through the nature, timing, and extent of procedures.

A wrong: Higher tolerable rate is less rigorous.

C wrong: Smaller samples increase detection risk.

D wrong: Representations are not a substitute for procedures.

Q129

Question: The auditor identifies a deficiency that could result in a material misstatement but management has a compensating control. The auditor should:

A. Ignore the deficiency.

B. Assess whether the compensating control mitigates the risk.

C. Immediately classify it as a material weakness.

D. Remove the finding.

Correct Answer: B

Q129 – Explanation

Correct: B. Evaluate whether a compensating control reduces the risk before classifying severity.

A wrong: Deficiencies must be assessed.

C wrong: Classification depends on mitigation.

D wrong: The finding must be documented.

Q130

Question: Which is the MOST appropriate way to document a significant judgment?

A. Record only the conclusion.

B. Record the facts, alternatives considered, rationale, and conclusion.

C. Record it verbally.

D. Record it only if challenged.

Correct Answer: B

Q130 – Explanation

Correct: B. Workpapers should capture facts, alternatives, rationale, and conclusion for significant judgments.

A wrong: Conclusion-only lacks support.

C wrong: Verbal documentation is insufficient.

D wrong: Documentation is always required.

Q131

Question: Which condition is MOST indicative of a material weakness?

A. A minor documentation gap.

B. A reasonable possibility that a material misstatement will not be prevented or detected timely.

C. A single late reconciliation.

D. A training need.

Correct Answer: B

Q131 – Explanation

Correct: B. That is the definition of a material weakness.

A wrong: Documentation gaps are often minor.

C wrong: A single late reconciliation is usually minor.

D wrong: Training needs are not material weaknesses.

Q132

Question: Which is the BEST way to evaluate the effectiveness of the internal audit activity?

A. Count the number of audits completed.

B. Measure conformance with the Standards and delivery of value.

C. Count the budget spent.

D. Count the findings issued.

Correct Answer: B

Q132 – Explanation

Correct: B. Effectiveness is judged by conformance with the Standards and value delivered, not activity counts.

A wrong: Volume alone is not value.

C wrong: Budget spend is input, not outcome.

D wrong: Findings count alone is insufficient.

Q133

Question: Which is the MOST appropriate response when an auditor is asked to perform an engagement outside their competence?

A. Proceed to save time.

B. Seek training, a competent specialist, or decline.

C. Delegate to a junior auditor.

D. Rely on the auditee's expertise.

Correct Answer: B

Q133 – Explanation

Correct: B. Obtain competence, use a specialist, or decline (Standard 1210).

A wrong: Proceeding without competence violates the Standards.

C wrong: Delegating to someone equally unqualified is improper.

D wrong: The auditee cannot substitute for auditor competence.

Q134

Question: Which is the BEST indicator of a strong ethical culture?

A. A code of conduct exists.

B. Leaders model ethical behavior and enforce consequences.

C. The code is posted on the website.

D. Ethics training is optional.

Correct Answer: B

Q134 – Explanation

Correct: B. Tone at the top is demonstrated by leader behavior and enforcement, not documents alone.

A wrong: A code is necessary but not sufficient.

C wrong: Posting is cosmetic.

D wrong: Optional training weakens culture.

Q135

Question: Which is the MOST likely reason an auditor would use monetary unit sampling (MUS)?

A. To estimate a deviation rate.

B. To test for overstatement in a population of monetary amounts.

C. To test completeness of a liability.

D. To set materiality.

Correct Answer: B

Q135 – Explanation

Correct: B. MUS is designed for monetary populations and is effective for overstatement testing.

A wrong: Attribute sampling estimates deviation rates.

C wrong: MUS is weak for completeness (understatement).

D wrong: Materiality is a judgment, not a sampling output.

Q136

Question: Which statement about the audit committee and internal audit is MOST accurate?

A. The audit committee performs the audits.

B. The audit committee approves the plan, budget, and CAE appointment.

C. The audit committee writes the workpapers.

D. The audit committee reports to the CAE.

Correct Answer: B

Q136 – Explanation

Correct: B. The audit committee approves the charter, plan, budget, and CAE appointment/removal.

A wrong: Internal auditors perform audits.

C wrong: Workpapers are internal audit's.

D wrong: The CAE reports to the committee.

Q137

Question: Which is the BEST description of a "risk register"?

A. A list of identified risks with owners and responses.

B. The audit plan.

C. The financial statements.

D. The marketing plan.

Correct Answer: A

Q137 – Explanation

Correct: A. A risk register documents risks, owners, assessments, and responses.

B wrong: The audit plan is separate.

C wrong: Financial statements are outputs.

D wrong: Marketing is unrelated.

Q138

Question: Which is the MOST appropriate action if an auditor is offered a significant gift by an auditee?

A. Accept if it is small.

B. Decline to avoid an objectivity impairment.

C. Accept but disclose later.

D. Accept if the auditee insists.

Correct Answer: B

Q138 – Explanation

Correct: B. Significant gifts create a conflict of interest and impair objectivity.

A wrong: "Small" is subjective and still risky.

C wrong: Disclosure does not cure the impairment.

D wrong: Insistence does not justify acceptance.

Q139

Question: Which is the BEST evidence that a control was designed properly?

A. Reperformance.

B. Inquiry and inspection of the design documentation.

C. Observation only.

D. Analytical review.

Correct Answer: B

Q139 – Explanation

Correct: B. Design testing uses inquiry and inspection of policies/flowcharts to see if the control addresses the risk.

A wrong: Reperformance tests operating effectiveness.

C wrong: Observation alone is insufficient.

D wrong: Analytical review does not test design.

Q140

Question: Which is the MOST appropriate response if the CAE believes the audit committee is not providing adequate oversight?

A. Ignore it.

B. Document and escalate concerns appropriately (e.g., to the board).

C. Resign immediately.

D. Report to the external auditor only.

Correct Answer: B

Q140 – Explanation

Correct: B. The CAE should document and escalate governance concerns through appropriate channels.

A wrong: Ignoring governance weaknesses is improper.

C wrong: Resignation is a last resort.

D wrong: Reporting only to the external auditor is inappropriate.

Q141

Question: Which is the BEST way to test the completeness of payroll?

A. Reconcile payroll to the general ledger.

B. Compare the payroll register to active employee records and time records.

C. Review the budget.

D. Interview the payroll manager.

Correct Answer: B

Q140 – Explanation (correction)

Correct: B. Comparing payroll to employee and time records tests whether all employees were paid.

A wrong: A reconciliation checks totals but not completeness of individuals.

C wrong: The budget is not a completeness test.

D wrong: Inquiry alone is weak.

Q142

Question: Which is the MOST appropriate way to handle a workpaper error?

A. Delete it.

B. Correct it transparently and document the change.

C. Rewrite the file history.

D. Hide it.

Correct Answer: B

Q142 – Explanation

Correct: B. Corrections should be transparent and documented to preserve integrity.

A wrong: Deleting evidence is improper.

C wrong: Altering history is misconduct.

D wrong: Hiding errors violates professional ethics.

Q143

Question: Which is the BEST description of "reasonable assurance"?

A. Absolute certainty.

B. A high but not absolute level of assurance.

C. No assurance.

D. Management's guarantee.

Correct Answer: B

Q143 – Explanation

Correct: B. Reasonable assurance is high-level assurance limited by the nature of audit evidence.

A wrong: Absolute certainty is impossible.

C wrong: It is not zero assurance.

D wrong: Management cannot guarantee control effectiveness.

Q144

Question: Which is the BEST description of "inherent risk"?

A. Risk after controls.

B. Risk before considering controls.

C. Risk the auditor misses.

D. Risk of fraud.

Correct Answer: B

Q144 – Explanation

Correct: B. Inherent risk is assessed before controls.

A wrong: Risk after controls is residual risk.

C wrong: Auditor misses relate to detection risk.

D wrong: Fraud is one source, not inherent risk.

Q145

Question: Which is the MOST appropriate way to test a segregation-of-duties control?

A. Observe one transaction.

B. Examine system access rights and user roles.

C. Interview the manager.

D. Review the org chart.

Correct Answer: B

Q145 – Explanation

Correct: B. Access rights and roles show whether incompatible duties are truly separated in the system.

A wrong: One observation is limited.

C wrong: Inquiry is weak.

D wrong: The org chart does not reflect system access.

Q146

Question: Which is the BEST way to test the existence of inventory?

A. Review the perpetual records.

B. Observe the physical count.

C. Interview the warehouse manager.

D. Review the purchase budget.

Correct Answer: B

Q146 – Explanation

Correct: B. Direct observation of the physical count is the strongest evidence of existence.

A wrong: Records are internal and may be inaccurate.

C wrong: Inquiry is weak.

D wrong: Budgets are not existence evidence.

Q147

Question: Which is the MOST likely indicator of a fraudulent disbursement?

A. A vendor with a PO box and no phone.

B. A monthly reconciliation.

C. A low-value invoice.

D. A timely approval.

Correct Answer: A

Q147 – Explanation

Correct: A. A shell vendor with no verifiable existence is a classic fraud red flag.

B wrong: Reconciliations are controls.

C wrong: Low value alone is not a red flag.

D wrong: Timely approval is a positive sign.

Q148

Question: Which is the BEST description of "residual risk"?

A. Risk before controls.

B. Risk remaining after controls.

C. Audit risk.

D. Inherent risk.

Correct Answer: B

Q148 – Explanation

Correct: B. Residual risk is what remains after management's controls and responses.

A wrong: That is inherent risk.

C wrong: Audit risk is the auditor's risk.

D wrong: Inherent risk is before controls.

Q149

Question: Which is the MOST appropriate way for internal audit to coordinate with external audit?

A. Share all working papers freely.

B. Coordinate timing, scope, and observations while maintaining independence.

C. Let external audit direct internal audit's work.

D. Avoid all contact.

Correct Answer: B

Q149 – Explanation

Correct: B. Coordination improves efficiency but internal audit must remain independent.

A wrong: Sharing all workpapers without controls may breach confidentiality.

C wrong: External audit does not direct internal audit.

D wrong: Avoidance misses coordination benefits.

Q150

Question: Which is the BEST description of a "control deficiency"?

A. A control that is expensive.

B. A missing or ineffective control that fails to prevent or detect misstatement timely.

C. An undocumented control.

D. A control owned by IT.

Correct Answer: B

Q150 – Explanation

Correct: B. A deficiency exists when a control is missing or ineffective relative to the risk.

A wrong: Cost is not a deficiency.

C wrong: Documentation gaps are a type of deficiency but not the whole definition.

D wrong: Ownership does not determine deficiency.

Q151

Question: Which is the MOST appropriate way to test access controls in an ERP system?

A. Review the IT budget.

B. Examine user access logs and roles against the access matrix.

C. Interview the CIO.

D. Review the firewall policy only.

Correct Answer: B

Q151 – Explanation

Correct: B. Comparing actual access against the approved matrix tests whether access is restricted appropriately.

A wrong: Budget review is not a control test.

C wrong: Inquiry alone is weak.

D wrong: A firewall policy is only one piece.

Q152

Question: Which is the BEST description of "materiality"?

A. A fixed percentage.

B. The magnitude of an omission/misstatement that would influence a reasonable user.

C. The audit fee.

D. The board's approval threshold.

Correct Answer: B

Q152 – Explanation

Correct: B. Materiality is a judgment about influence on users' decisions.

A wrong: No fixed percentage applies.

C wrong: Fees are unrelated.

D wrong: Board approval thresholds are governance, not audit materiality.

Q153

Question: Which is the MOST likely consequence of poor tone at the top?

A. Stronger controls.

B. Weaker control environment and higher fraud risk.

C. Fewer audit findings.

D. Better compliance.

Correct Answer: B

Q153 – Explanation

Correct: B. Poor tone undermines the control environment and raises fraud/compliance risk.

A wrong: Poor tone weakens controls.

C wrong: Findings typically increase.

D wrong: Compliance generally suffers.

Q154

Question: Which is the BEST way to verify the accuracy of a vendor invoice before payment?

A. A single signature.

B. A three-way match (PO, receipt, invoice).

C. A phone call.

D. A budget review.

Correct Answer: B

Q154 – Explanation

Correct: B. A three-way match verifies quantity, price, and receipt before payment.

A wrong: A single signature is weak.

C wrong: A phone call is not a structured control.

D wrong: Budget review is not transaction verification.

Q155

Question: Which is the MOST appropriate action if the auditor discovers the auditee has destroyed evidence?

A. Reconstruct the evidence yourself.

B. Document the destruction and notify appropriate authorities (e.g., legal/board).

C. Ignore it.

D. Confront the auditee aggressively.

Correct Answer: B

Q155 – Explanation

Correct: B. Document the fact and escalate per policy; evidence destruction may be illegal.

A wrong: Reconstruction may be impossible or inappropriate.

C wrong: Ignoring spoliation is improper.

D wrong: Aggressive confrontation may escalate risk.

Q156

Question: Which is the BEST description of "risk-based audit planning"?

A. Auditing only what management requests.

B. Allocating resources to areas of highest risk to objectives.

C. Auditing everything equally.

D. Auditing only financial areas.

Correct Answer: B

Q156 – Explanation

Correct: B. Risk-based planning directs limited resources to the highest-risk areas.

A wrong: Management requests are considered but not sole driver.

C wrong: Equal coverage ignores risk.

D wrong: Risk-based covers all types of risk.

Q157

Question: Which is the MOST likely sign that an auditor has lost objectivity?

A. The auditor challenges management's assertions.

B. The auditor accepts every explanation without corroboration.

C. The auditor documents evidence.

D. The auditor uses sampling.

Correct Answer: B

Q157 – Explanation

Correct: B. Uncritical acceptance of management's explanations indicates loss of skepticism/objectivity.

A wrong: Challenging assertions is appropriate.

C wrong: Documentation is required.

D wrong: Sampling is a normal technique.

Q158

Question: Which is the BEST way to test the operating effectiveness of an automated control?

A. Rely on the IT department's statement.

B. Re-perform the control or test the underlying logic and exceptions.

C. Review the IT budget.

D. Interview the developer.

Correct Answer: B

Q158 – Explanation

Correct: B. Re-performing or testing logic/exceptions provides direct evidence that the automated control operates.

A wrong: IT statements are not evidence.

C wrong: Budgets are unrelated.

D wrong: Developer interviews are weak.

Q159

Question: Which is the MOST appropriate description of "consulting" in internal audit?

A. An assurance engagement.

B. An advisory engagement that adds value without management responsibility.

C. A financial audit.

D. A compliance audit.

Correct Answer: B

Q159 – Explanation

Correct: B. Consulting is advisory and must not assume management responsibilities.

A wrong: Assurance is objective assessment.

C wrong: Financial audit is assurance.

D wrong: Compliance audit is assurance.

Q160

Question: Which is the BEST evidence of the existence of cash in the bank?

A. The bank reconciliation.

B. An external bank confirmation.

C. The cashier's count sheet.

D. The general ledger.

Correct Answer: B

Q160 – Explanation

Correct: B. A bank confirmation from a third party is highly reliable direct evidence.

A wrong: Reconciliation is internal.

C wrong: Count sheets are internal.

D wrong: The ledger is internal.

Q161

Question: Which is the MOST appropriate way to determine whether a control is preventive or detective?

A. Ask management.

B. Determine whether it acts before or after an event.

C. Review the budget.

D. Read the policy only.

Correct Answer: B

Q161 – Explanation

Correct: B. Preventive controls act before the event; detective controls identify after the fact.

A wrong: Management's label may be inaccurate.

C wrong: Budget review is irrelevant.

D wrong: Policy alone does not establish control type.

Q162

Question: Which is the MOST likely effect of management override on internal control?

A. It strengthens controls.

B. It is an inherent limitation of internal control.

C. It eliminates fraud risk.

D. It guarantees compliance.

Correct Answer: B

Q162 – Explanation

Correct: B. Management override is one of the inherent limitations of internal control.

A wrong: Override weakens controls.

C wrong: It increases fraud risk.

D wrong: It undermines compliance.

Q163

Question: Which is the BEST way to evaluate the effectiveness of the audit committee?

A. Count its meetings.

B. Assess its oversight of financial reporting, audit, and risk.

C. Review its members' salaries.

D. Count the number of members.

Correct Answer: B

Q163 – Explanation

Correct: B. Effectiveness is judged by the quality of oversight, not activity counts.

A wrong: Meeting frequency alone is not effectiveness.

C wrong: Salaries are irrelevant.

D wrong: Member count is not a performance measure.

Q164

Question: Which is the MOST appropriate way to handle a request to audit a process owned by the auditor's former department?

A. Proceed and rely on prior knowledge.

B. Disclose and request reassignment if objectivity is impaired.

C. Proceed but limit sampling.

D. Ignore the issue.

Correct Answer: B

Q164 – Explanation

Correct: B. Prior responsibility impairs objectivity; disclose and reassign if needed (Standard 1130).

A wrong: Prior knowledge does not cure the impairment.

C wrong: Sampling limits do not remove bias.

D wrong: Ignoring the impairment is improper.

Q165

Question: Which is the BEST description of "detection risk"?

A. Risk the auditor fails to detect a misstatement.

B. Risk the control fails.

C. Risk before controls.

D. Risk of fraud.

Correct Answer: A

Q165 – Explanation

Correct: A. Detection risk is the auditor's risk that procedures fail to detect material misstatement.

B wrong: That is control risk.

C wrong: That is inherent risk.

D wrong: Fraud is a source of risk.

Q166

Question: Which is the MOST appropriate way to document a judgment about control effectiveness?

A. State only the conclusion.

B. State the facts, the criteria, the judgment, and the rationale.

C. State only the criteria.

D. State only the facts.

Correct Answer: B

Q166 – Explanation

Correct: B. A documented judgment includes facts, criteria, judgment, and rationale.

A wrong: Conclusion-only lacks support.

C wrong: Criteria alone is incomplete.

D wrong: Facts alone lack judgment.

Q167

Question: Which is the BEST way to test the completeness of revenue?

A. Trace from shipping documents to invoices.

B. Trace from invoices to shipping documents.

C. Confirm receivables.

D. Review the budget.

Correct Answer: A

Q167 – Explanation

Correct: A. Tracing from shipping documents (source) to invoices tests whether all shipments were billed.

B wrong: Invoices-to-shipping tests existence.

C wrong: Confirmations test existence.

D wrong: Budgets are not evidence.

Q168

Question: Which is the MOST likely effect of a strong control environment on the audit strategy?

A. Eliminates substantive testing.

B. May allow more reliance on controls and less substantive testing.

C. Increases inherent risk.

D. Removes the need for planning.

Correct Answer: B

Q168 – Explanation

Correct: B. A strong environment supports reliance on controls, though some substantive work remains.

A wrong: Substantive testing is still needed.

C wrong: It may reduce risk.

D wrong: Planning is always required.

Q169

Question: Which is the BEST description of "audit evidence"?

A. The audit report.

B. Information used by the auditor to reach a conclusion.

C. The audit plan.

D. The engagement letter.

Correct Answer: B

Q169 – Explanation

Correct: B. Evidence is all information that supports the auditor's conclusion.

A wrong: The report is an output.

C wrong: The plan is a planning tool.

D wrong: The engagement letter is an agreement.

Q170

Question: Which is the MOST appropriate way to test the existence of a liability?

A. Trace from the ledger to supporting invoices.

B. Trace from receiving reports to the ledger.

C. Review the budget.

D. Interview the AP clerk.

Correct Answer: A

Q170 – Explanation

Correct: A. Vouching from the ledger to invoices tests whether recorded liabilities exist.

B wrong: Receiving-to-ledger tests completeness.

C wrong: Budget review is not evidence.

D wrong: Inquiry alone is weak.

Q171

Question: Which is the BEST way to evaluate whether a control is cost-effective?

A. Compare the cost of the control to the risk it mitigates.

B. Count the control's cost only.

C. Count the control's benefit only.

D. Compare the control to the budget.

Correct Answer: A

Q171 – Explanation

Correct: A. Cost-effectiveness compares control cost with the risk reduction/benefit.

B wrong: Cost alone is incomplete.

C wrong: Benefit alone is incomplete.

D wrong: Budget comparison is not risk-based.

Q172

Question: Which is the MOST likely indicator of a weak control environment?

A. Regular ethics training.

B. Leaders ignoring policy for personal benefit.

C. Strong board oversight.

D. Clear code of conduct.

Correct Answer: B

Q172 – Explanation

Correct: B. Leaders ignoring policy signals a weak tone at the top.

A wrong: Ethics training supports the environment.

C wrong: Strong oversight supports it.

D wrong: A clear code supports it.

Q173

Question: Which is the BEST way to test the accuracy of an account balance?

A. Vouching to source documents.

B. Recomputing the balance from supporting records.

C. Interviewing the accountant.

D. Reviewing the budget.

Correct Answer: B

Q173 – Explanation

Correct: B. Recomputing the balance from underlying records directly tests arithmetic accuracy.

A wrong: Vouching tests existence/occurrence.

C wrong: Inquiry alone is weak.

D wrong: Budget review is not accuracy evidence.

Q174

Question: Which is the MOST appropriate way to handle an audit finding that is disputed by management?

A. Delete the finding.

B. Evaluate management's evidence and document the rationale for the final position.

C. Escalate immediately.

D. Accept management's position without review.

Correct Answer: B

Q174 – Explanation

Correct: B. Evaluate management's evidence and document the basis for the final conclusion.

A wrong: Deleting is improper without evaluation.

C wrong: Escalate if unresolved, not automatically.

D wrong: Uncritical acceptance violates skepticism.

Q175

Question: Which is the BEST description of "audit risk"?

A. Risk the organization fails.

B. Risk the auditor issues an inappropriate conclusion.

C. Risk the control fails.

D. Risk of fraud.

Correct Answer: B

Q175 – Explanation

Correct: B. Audit risk is the risk of an incorrect audit conclusion.

A wrong: Business failure is business risk.

C wrong: Control failure is control risk.

D wrong: Fraud is a source of risk.

Q176

Question: Which is the MOST appropriate way to test a reconciliation control?

A. Review the reconciliation policy.

B. Re-perform the reconciliation and investigate differences.

C. Interview the preparer.

D. Review the budget.

Correct Answer: B

Q176 – Explanation

Correct: B. Re-performing the reconciliation tests whether it is accurate and operates effectively.

A wrong: Policy review tests design only.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q177

Question: Which is the BEST description of "governance"?

A. The audit plan.

B. The processes and structures used to direct and control the organization.

C. The financial statements.

D. The audit report.

Correct Answer: B

Q177 – Explanation

Correct: B. Governance is the system of direction and control.

A wrong: The audit plan is an internal audit tool.

C wrong: Financial statements are outputs.

D wrong: The audit report is an output.

Q178

Question: Which is the MOST likely effect of a strong audit committee on internal audit?

A. It weakens internal audit's authority.

B. It supports independence and authority.

C. It eliminates the need for a charter.

D. It performs the audit work.

Correct Answer: B

Q178 – Explanation

Correct: B. A strong audit committee protects independence and reinforces authority.

A wrong: It strengthens authority.

C wrong: The charter is still required.

D wrong: The committee oversees, not performs, audits.

Q179

Question: Which is the BEST description of "control self-assessment"?

A. External audit technique.

B. Management/process owners assess their own controls.

C. Fraud investigation.

D. Regulatory filing.

Correct Answer: B

Q179 – Explanation

Correct: B. CSA engages management in assessing controls, often via workshops.

A wrong: It is internal.

C wrong: It is not fraud investigation.

D wrong: It is not a filing.

Q180

Question: Which is the MOST likely risk of using only inquiry to test a control?

A. Over-reliance on weak evidence.

B. Excessive sample size.

C. Too much documentation.

D. Excessive detection risk reduction.

Correct Answer: A

Q180 – Explanation

Correct: A. Inquiry is weak evidence and may lead to incorrect conclusions.

B wrong: Inquiry doesn't drive sample size.

C wrong: Inquiry produces little evidence.

D wrong: Inquiry increases detection risk.

Q181

Question: Which is the BEST way to evaluate the effectiveness of a board's risk oversight?

A. Count board meetings.

B. Review how the board challenges and monitors risk.

C. Review board salaries.

D. Count board members.

Correct Answer: B

Q181 – Explanation

Correct: B. Effectiveness is judged by the quality of challenge and monitoring, not activity counts.

A wrong: Meeting frequency is not effectiveness.

C wrong: Salaries are irrelevant.

D wrong: Size is not a performance measure.

Q182

Question: Which is the MOST appropriate action if the auditor believes the audit committee is not independent?

A. Ignore it.

B. Document and escalate through appropriate channels.

C. Resign immediately.

D. Report to the external auditor only.

Correct Answer: B

Q182 – Explanation

Correct: B. Document and escalate governance concerns appropriately.

A wrong: Ignoring governance weaknesses is improper.

C wrong: Resignation is a last resort.

D wrong: Reporting only to external audit is inappropriate.

Q183

Question: Which is the BEST way to test the completeness of fixed asset additions?

A. Trace from the fixed asset ledger to invoices.

B. Trace from receiving reports and invoices to the fixed asset ledger.

C. Review the budget.

D. Interview the controller.

Correct Answer: B

Q183 – Explanation

Correct: B. Tracing from source documents to the ledger tests completeness of additions.

A wrong: Ledger-to-invoices tests existence.

C wrong: Budget review is not evidence.

D wrong: Inquiry alone is weak.

Q184

Question: Which is the MOST likely effect of a strong control environment on fraud risk?

A. Increases fraud risk.

B. Reduces fraud risk.

C. Has no effect.

D. Eliminates all fraud.

Correct Answer: B

Q184 – Explanation

Correct: B. A strong ethical tone reduces fraud risk.

A wrong: It reduces, not increases.

C wrong: It has a significant effect.

D wrong: Fraud cannot be eliminated.

Q185

Question: Which is the BEST description of "monitoring" in COSO?

A. Setting budgets.

B. Assessing the quality of internal control over time.

C. Hiring staff.

D. Preparing the audit plan.

Correct Answer: B

Q185 – Explanation

Correct: B. Monitoring assesses the quality of internal control over time.

A wrong: Budgeting is a control activity.

C wrong: Hiring is a control activity.

D wrong: The audit plan is internal audit's tool.

Q186

Question: Which is the MOST appropriate way to test a physical safeguard control?

A. Review the policy.

B. Inspect the safeguards and attempt access.

C. Interview the guard.

D. Review the budget.

Correct Answer: B

Q186 – Explanation

Correct: B. Inspecting and attempting access provides direct evidence the safeguard works.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q187

Question: Which is the BEST description of "information and communication" in COSO?

A. The marketing plan.

B. Capturing and communicating relevant information.

C. The IT budget.

D. The audit report.

Correct Answer: B

Q187 – Explanation

Correct: B. It ensures relevant information is captured and communicated timely.

A wrong: Marketing is unrelated.

C wrong: The IT budget is a resource.

D wrong: The audit report is an output.

Q188

Question: Which is the MOST likely effect of management override on the audit strategy?

A. The auditor may reduce substantive testing.

B. The auditor may increase substantive testing or focus on journal entries.

C. The auditor ignores it.

D. The auditor relies on management.

Correct Answer: B

Q188 – Explanation

Correct: B. Management override risk usually increases substantive testing, especially journal entry testing.

A wrong: It increases, not reduces, testing.

C wrong: Ignoring override risk is improper.

D wrong: Reliance on management is inappropriate.

Q189

Question: Which is the BEST way to test the valuation of inventory?

A. Count the inventory.

B. Compare carrying amounts to net realizable value.

C. Review the budget.

D. Interview the warehouse manager.

Correct Answer: B

Q189 – Explanation

Correct: B. Comparing to NRV tests whether inventory is overvalued.

A wrong: Counting tests existence, not valuation.

C wrong: Budget review is not valuation evidence.

D wrong: Inquiry alone is weak.

Q190

Question: Which is the MOST appropriate description of "risk appetite"?

A. The CAE's risk tolerance.

B. The amount/type of risk the organization is willing to accept.

C. The audit fee.

D. The external auditor's opinion.

Correct Answer: B

Q190 – Explanation

Correct: B. Risk appetite is set by governance and expresses willingness to accept risk.

A wrong: The CAE does not set appetite.

C wrong: Fees are unrelated.

D wrong: The external opinion is unrelated.

Q191

Question: Which is the BEST description of "control activities"?

A. Policies/procedures ensuring directives are carried out.

B. The board's schedule.

C. The audit plan.

D. The marketing plan.

Correct Answer: A

Q191 – Explanation

Correct: A. Control activities are policies and procedures such as approvals, reconciliations, and segregation.

B wrong: Schedules are not controls.

C wrong: The audit plan is a planning tool.

D wrong: Marketing plans are unrelated.

Q192

Question: Which is the MOST appropriate way to test a password policy?

A. Review the policy only.

B. Inspect system configuration and test password strength/reset settings.

C. Interview the IT director.

D. Review the IT budget.

Correct Answer: B

Q192 – Explanation

Correct: B. Testing the actual configuration provides evidence the policy operates.

A wrong: Policy review tests design only.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q193

Question: Which is the BEST description of "due care"?

A. Guaranteeing no errors.

B. Using the care expected of a reasonably prudent auditor.

C. Following management orders.

D. Avoiding documentation.

Correct Answer: B

Q193 – Explanation

Correct: B. Due care is reasonable prudence and competence, not perfection.

A wrong: Guarantees are impossible.

C wrong: Management orders do not override Standards.

D wrong: Documentation is required.

Q194

Question: Which is the MOST likely effect of a weak control environment on fraud risk?

A. It increases fraud risk.

B. It reduces fraud risk.

C. It has no effect.

D. It eliminates fraud.

Correct Answer: A

Q194 – Explanation

Correct: A. Weak tone at the top increases opportunity and rationalization for fraud.

B wrong: It increases, not reduces.

C wrong: It has a strong effect.

D wrong: It cannot eliminate fraud.

Q195

Question: Which is the BEST way to test the accuracy of a payroll register?

A. Compare to the budget.

B. Recompute gross pay, deductions, and net pay from time and rate records.

C. Interview the payroll clerk.

D. Review the policy.

Correct Answer: B

Q195 – Explanation

Correct: B. Recomputing from source records directly tests accuracy.

A wrong: Budget comparison is not accuracy evidence.

C wrong: Inquiry alone is weak.

D wrong: Policy review tests design only.

Q196

Question: Which is the MOST appropriate description of "assurance"?

A. An objective assessment providing an opinion/conclusion.

B. An advisory service.

C. The marketing plan.

D. The audit committee's schedule.

Correct Answer: A

Q196 – Explanation

Correct: A. Assurance is an objective assessment providing independent opinion/conclusion.

B wrong: Advisory is consulting.

C wrong: Marketing is unrelated.

D wrong: Committee schedule is governance cadence.

Q197

Question: Which is the BEST way to test the existence of a receivable?

A. Review the aged trial balance.

B. Confirm with the customer.

C. Interview the credit manager.

D. Review the sales budget.

Correct Answer: B

Q197 – Explanation

Correct: B. External confirmation provides direct third-party evidence of existence.

A wrong: The trial balance is internally generated.

C wrong: Inquiry alone is weak.

D wrong: Budgets are not existence evidence.

Q198

Question: Which is the MOST appropriate description of "follow-up"?

A. Monitoring whether management implemented actions.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q198 – Explanation

Correct: A. Follow-up monitors implementation of agreed actions (Standard 2500).

B wrong: The report is a deliverable.

C wrong: The plan is a planning tool.

D wrong: The engagement letter is an agreement.

Q199

Question: Which is the BEST description of "QAIP"?

A. A program to evaluate and improve the internal audit activity.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q199 – Explanation

Correct: A. QAIP covers all aspects of the internal audit activity, evaluating conformance and improving.

B wrong: The report is a deliverable.

C wrong: The plan is a planning tool.

D wrong: The engagement letter is an agreement.

Q200

Question: Which is the BEST description of "internal audit charter"?

A. A formal document defining purpose, authority, and responsibility.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q200 – Explanation

Correct: A. The charter defines purpose, authority, and responsibility and is board-approved (Standard 1000).

B wrong: The report is a deliverable.

C wrong: The plan is a planning tool.

D wrong: The engagement letter is for a specific engagement.

End of Questions 101–200

Review, repeat, and mark weak areas.